

FEDERAL MARITIME COMMISSION

Office of the Administrative Law Judges

M/S PARSONS OVERSEAS, *Claimant*

v.

SEVEN SEAS SHIPPING USA, INC., *Respondent*.

DOCKET NO. 1960(I)

Served: February 26, 2020

BEFORE: Theresa DIKE, *Small Claims Officer*.

ORDER GRANTING VOLUNTARY DISMISSAL¹

On March 6, 2018, Claimant M/S Parsons Overseas (“Parsons”) initiated this proceeding by filing a claim with the Federal Maritime Commission (“Commission” or “FMC”) against Respondent Seven Seas Shipping USA, Inc. (“Seven Seas”), alleging that Seven Seas “failed to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property,” in violation of the Shipping Act at 46 U.S.C. § 41102(c). Claim at 5. On July 9, 2018, an Initial Decision was issued in this proceeding finding that Seven Seas violated section 41102(c) and awarding reparations to Parsons. *M/S Parsons Overseas v. Seven Seas Shipping USA, Inc.*, Informal Docket No. 1960(I), Decision, (SCO July 9, 2018) (“SCO Decision”).

On December 17, 2018, the Commission promulgated an interpretive rule on the scope of section 41102(c). Interpretive Rule, Shipping Act of 1984, 83 FR 64478 (Dec. 17, 2018) (“Final Rule”). On March 7, 2019, the Commission issued an Order vacating the SCO Decision and remanding this proceeding to the undersigned for adjudication of the 41102(c) claim consistent with the interpretive rule. *M/S Parsons Overseas v. Seven Seas Shipping USA, Inc.*, Informal Docket No. 1960(I), Order Vacating and Remanding Decision, (FMC Mar. 7, 2019).

On July 2, 2019, an Initial Decision on Remand was issued finding that Claimant had failed to establish that the unjust and unreasonable acts found to have been committed by Respondent occurred on a normal, customary, and continuous basis, as required to find a section 41102(c) violation and award reparations under the new interpretive rule. *M/S Parsons Overseas v. Seven Seas Shipping USA, Inc.*, Informal Docket No. 1960(I), Initial Decision on Remand, (SCO July 9, 2019) (“SCO Decision on Remand”).

On December 12, 2019, the Commission issued an Order vacating the finding that Claimant failed to demonstrate that Respondent’s conduct occurred on a normal, customary, and

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

continuous basis. *M/S Parsons Overseas v. Seven Seas Shipping USA, Inc.*, Informal Docket No. 1960(I), Order Affirming-in-Part and Vacating-in-Part Decision on Remand and Remanding for Discovery, (FMC Dec. 12, 2019) (“Second Commission Remand Order”). The Commission stated that the purpose for this was to “give Claimant a final opportunity to seek discovery regarding whether Respondent or its agent engaged in its unjust and unreasonable conduct with respect to other shipments or shippers.” Second Commission Remand Order at 13. The Commission affirmed the SCO Decision on Remand in all other respects. Second Commission Remand Order at 12.

On February 4, 2020, Claimant filed a “Request to Withdraw Complaint and Dismiss Proceeding Without Prejudice Pursuant to 46 C.F.R. § 502.72(a)(3)” (“Request for Dismissal”). Claimant asserts that its request to dismiss the proceeding is not due to a settlement between the parties. Request for Dismissal at 2. Claimant states:

Complainant herein submits this request because of the expenses incurred to date in pursuing this matter and the uncertainty of further expenses given the trajectory of decision-making in this matter. The Federal Maritime Commission’s (FMC) decision vacating the July 9, 2018 order of the Small Claims Officer (SCO) which found that Respondent violated 46 U.S.C. § 41102(c) and remanding the case back to the parties to litigate the FMC’s new interpretation of 46 U.S.C. § 41102(c) to determine whether Respondent’s acts or omissions occurred on a normal, customary, and continuous basis, which Complainant maintains was impermissibly retroactively applied, has rendered it financially infeasible for Complainant to pursue resolution of this matter through FMC procedures, which have unexpectedly changed throughout pendency of this matter to Complainant’s detriment.

Request for Dismissal at 1. Claimant asks that this proceeding be dismissed without prejudice pursuant to 46 C.F.R. § 502.72(a)(3). Request for Dismissal at 2.

The Commission’s Rule 502.72(a)(3) provides in pertinent part:

[A]n action may be dismissed at the complainant’s request only by order of the presiding officer, on terms the presiding officer considers proper. If the motion is based on a settlement by the parties, the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable. Unless the order states otherwise, a dismissal under this paragraph is without prejudice.

46 C.F.R. § 502.72(a)(3).

Although Rule 72, governing dismissal of Commission proceedings, is not applicable to Subpart S proceedings, the undersigned used the rule as a guide for ruling on Claimant’s request for dismissal. Claimant states that it is not seeking a dismissal because the parties have reached a settlement but rather, because it is not financially feasible for Claimant to continue to litigate this case. Given that Claimant initially prevailed in its claim that Respondent violated section

41102(c) but was subsequently forced to relitigate its claim due to the Commission's new interpretive rule, I find that it is proper to grant Claimant's request to dismiss this proceeding without prejudice based on Claimant's claim that it is not financially feasible for it to continue to litigate this proceeding.

For the reasons stated above, it is hereby

ORDERED that the request to withdraw be **GRANTED** and the Claim be **DISMISSED WITHOUT PREJUDICE**.



Theresa Dike
Small Claims Officer